

underperformance. We already calculated the board length and found it to be short, too.

The statistics suggest this pattern will underperform. Regardless of the probabilities, anything is possible, so Rich decided to trade the pattern anyway.

“I searched and searched and searched but couldn't find any reason for the plunge from A1 to B. Because earnings were due to be announced the week of candle B, I thought that maybe the smart money was selling ahead of the earnings announcement.”

He wasn't lucky enough to catch the candle B rise. Indeed, he was looking for a longer-term hold to capture some of the mouthwatering results this chapter describes. He understood that the results are based on trading hundreds of diving board patterns perfectly, but grabbing a share of a 73% average rise was too tempting to ignore.

“The week before I bought, the company announced annual earnings [not to be confused with the quarterly earnings at B] which the market liked [price continued higher, for a time]. I placed a buy stop a penny above the top of the pattern and it filled at 80.54 [at C].”

Because predicted performance of the pattern was dismal (as described above), he decided to use half the height as a measure rule target, or 88.78.

Looking at the chart, the drop two months after B (shown as B1) didn't concern him because he hadn't bought the stock yet. However, the stock did form a confirmed double bottom, which was gratifying, but he didn't like how volatile the stock was. The quick drops were unnerving.

After buying at C, the stock retraced and moved higher to D, peaking at 86.62, just short of the 88.78 target. He hoped the stock would continue higher, but he also knew the next earnings report was due on 2 May 2019 (a week after the stock peaked).

“When the company announced earnings, the stock gapped open lower, so I sold this bad boy at 80.13.” On the trade, he took a loss of 41 cents a share and was glad he sold. The stock dropped to E, bottoming at 62.35 for a potential giveback from the high (D) of 28%. Instead of making 73%, he took a small loss.